

FEDERAL MARITIME COMMISSION

DOCKET NO. 16-16

**MAVL CAPITAL INC.,
IAM AL GROUP INC., and MAXIM OSTROVSKIY**

v.

MARINE TRANSPORT LOGISTICS, INC. and DMITRY ALPER

INITIAL DECISION PARTIALLY DISMISSING COMPLAINT¹

I. INTRODUCTION.

On August 5, 2016, complainants MAVL Capital Inc. (MAVL), IAM AL Group Inc. (IAM), and Maxim Ostrovskiy initiated this proceeding against respondents Marine Transport Logistics, Inc. (MTL) and Dmitry Alper alleging that Respondents violated sections 41102(c), 41104(3) and 41104(10) of the Shipping Act of 1984, 46 U.S.C. §§ 41102(c), 41104(3) and 41104(10), and the Commission's regulations at Part 515, in connection with certain vehicles allegedly owned by Complainants.

Complainant Ostrovskiy, a resident of Russia, is the principal of complainant MAVL, a New York corporation, and complainant IAM, an Indiana corporation. Respondent MTL is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). The Complaint alleges that Alper was the director of operations of MTL (Complaint ¶ 7), an allegation that MTL admits (MTL Answer ¶ 7), but Alper denies. (Alper Answer ¶ 7.) The Complaint alleges that Alper is the alter ego of MTL, accountable for the actions of MTL. (Complaint ¶ 12.) Both MTL and Alper deny this allegation.

¹ The initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

This Commission proceeding is not the only litigation between these parties. On December 12, 2013, Complainants filed suit against MTL, Alper, and several other persons in the United States District Court for the Eastern District of New York alleging breach of maritime contract, conversion, related causes of action under state law, and violation of the Racketeer Influenced and Corrupt Organization Act in connection with vehicles owned by Complainants, including the vehicles that are the subject of this proceeding. *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al*, No. 13-cv-7110 (E.D.N.Y. Dec. 12, 2013) (Complaint filed). (See MTL Brief in Support of the Show Cause Order, Exhibit 2.) The New York case is still pending.

In the FMC proceeding, Complainants seek a reparation award against MTL and Alper for alleged violations of the Shipping Act in connection with a purported shipment of a 2006 Mercedes SL65, a purported shipment of a 2011 Porsche Panamera, and a purported shipment of three motorcycles – a 2004 Harley Davidson FXDXI, a 2007 Harley Davidson FXD, and a 2000 Harley Davidson XL883. Complainants allege they intended to ship these vehicles overseas by water from the United States, but were prevented from doing so by the conduct of Respondents. Complainants allege that they have sustained and continue to sustain direct injuries in excess of \$180,000 due to the alleged conduct. (Complaint Part VII.)

On August 11, 2016, the Secretary of the Commission issued a Notice of Filing of Complaint and Assignment assigning this proceeding to the Office of the Administrative Law Judges. On August 16, 2016, a Notice of Assignment was issued, assigning this proceeding to the undersigned. Respondent Alper filed his Answer on August 31, 2016, and respondent MTL filed its Answer on September 6, 2016. MTL and Alper deny most allegations in the Complaint and assert affirmative defenses.

II. ORDER TO SHOW CAUSE.

Because “it appear[ed] that the Complaint does not allege that Respondents engaged in international transportation by water of the Mercedes or the Harley Davidsons,” an Order was issued *sua sponte* on September 15, 2016, directing Complainants to show cause by October 3, 2016, “why the allegations in their Complaint regarding the 2006 Mercedes SL65 and [the Harley Davidson motorcycles] should not be dismissed for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *MAVL Capital Inc., IAM AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16 (ALJ Sept. 15, 2016) (Order to Show Cause Why Complaint Should Not be Partially Dismissed (Show Cause Order)) at 7 (*MAVL v. MTL*). Respondents were ordered to file a response to Complainants’ response to the Order by October 17, 2016. *Id.* The Order permitted Complainants to file a reply to Respondents’ responses by October 24, 2016. *Id.*

On October 3, 2016, Complainants filed their response to the Show Cause Order. Complainants included a Certification signed by Complainant Ostrovskiy (Ostrovskiy Certification) alleging additional facts. On October 17, 2016, respondent Alper and respondent MTL filed separate briefs in support of the Show Cause Order, and on October 24, 2016, Complainants filed a Reply to

Respondents' briefs. Complainants and MTL included a significant number of exhibits with their responses.

The claims regarding the alleged conversion of the Mercedes are not within the Commission's subject matter jurisdiction. Because in their response to the Show Cause Order Complainants did not articulate any argument that Respondents violated section 41104(10) of the Act in connection with the Mercedes or the Harley Davidson motorcycles, section 41104(3) in connection with the Mercedes, or section 41102(c) in connection with the Harley Davidson motorcycles, Complainants are deemed to have abandoned these claims. For the purposes of this motion, the well-pleaded facts alleged in the Complaint and the well-pleaded facts alleged in the Ostrovskiy Certification are accepted as true. Complainants do not state facts that would support a finding that they entered into a contract of carriage to transport the Mercedes and fail to state a claim of violation of section 41102(c) in connection with the Mercedes. Therefore, claims regarding the Mercedes are dismissed with prejudice. Complainants do not state a claim that Respondents retaliated against them in violation of section 41104(3) in connection with the Harley Davidson motorcycles. Therefore, claims regarding the Harley Davidson motorcycles are dismissed with prejudice. Remaining allegations will continue pursuant to the current schedule as addressed in the Initial Order, *MAVL v. MTL*, FMC No. 16-16 (ALJ Aug. 16, 2016) (Initial Order), and the Order Modifying Initial Order issued today. *MAVL v. MTL*, FMC No. 16-16 (ALJ Jan. 17, 2017) (Order Modifying Initial Order).

III. CONTROLLING AUTHORITY.

A. Relevant Statutes.

Complainants filed their Complaint pursuant to section 41301 of the Act.

A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a).

The Complaint alleges that MTL is an NVOCC licensed by the Commission. (Complaint ¶ 9). "The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(16).

The term "common carrier" – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination;

and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Act prohibits common carriers from taking certain actions. The Complaint alleges that Respondents violated sections 41102(c), 41104(3), and 41104(10) of the Act. (Complaint ¶¶ 51(A)-51(C). Section 41102(c) provides: “No common carrier, ocean transportation intermediary or marine terminal operator may fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). Section 41104 provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not –

* * *

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason;

* * *

(10) Unreasonably refuse to deal or negotiate.

46 U.S.C. § 41104.

The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.

* * *

(e) *Attorney Fees.* – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.

46 U.S.C. § 41305.

B. Authority Guiding *Sua Sponte* Dismissal of a Case by a Commission Administrative Law Judge.

A Commission administrative law judge may dismiss *sua sponte* a complaint that fails to state a claim.

Rule 12 of the Commission's Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. See, e.g., *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (F.M.C.).

Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. As it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true.

Sinaltrainal v. Coca-Cola Company, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to "give the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., 32 S.R.R. 126, 136 (FMC 2011).

In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal caselaw interpreting it . . . [C]ourts will dismiss a claim if the plaintiff's complaint fails to plead 'enough facts to state a claim for relief that is plausible on its face.' Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, '[w]hile a complaint need not plead 'detailed factual allegations,' the factual allegations it does include 'must be enough to raise a light to relief above the speculative' and to 'nudge . . . claims across the line from conceivable to plausible.' This 'plausibility standard is not akin to probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief.'

Cornell v. Princess Cruise Lines, Ltd. (Corp.), et al, 33 S.R.R. 614, 620 (FMC 2014) (internal citations omitted).

[The Commission] must accept as true the well-pleaded factual allegations of the complaint, draw all reasonable inferences therefrom in [Complainants'] favor, and determine whether the complaint, so read, limns facts sufficient to justify recovery on any cognizable theory. In arriving at this determination, we differentiate between well-pleaded facts, on the one hand, and "bald assertions, unsupportable conclusions, periphrastic circumlocution, and the like," on the other hand; the former must be credited, but the latter can safely be ignored.

LaChapelle v. Berkshire Life Ins. Co., 142 F.3d 507, 508 (1st Cir. 1998).

"It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission." *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396 (ALJ 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). "It is also elemental that parties, such as complainants in the instant case, who invoke the jurisdiction of a tribunal such as the Commission, have the burden of showing that jurisdiction lies." *Crowley Liner Services, supra*, 29 S.R.R. at 396 (citing *River Parishes*, 28 S.R.R. at 201 (ALJ 1998, affirmed 28 S.R.R. 751 (FMC 1999)); *GAAR v. Quirk*, 86 F.3d 451, 453 (5th Cir. 1996); *Aetna Casualty & Surety Co. et al.*, 796 F.2d 770, 773 (5th Cir. 1986)).

“The Commission ‘is not a court, and cannot rely . . . on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred on it by Congress.’” *Trans-Pacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962). The Commission has jurisdiction over matters relating to “transportation by water of . . . cargo between the United States and a foreign country.” That jurisdiction essentially begins when a common carrier assumes responsibility for transportation of the cargo and ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) (“[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.”)

Dismissal is appropriate in this case because “[l]ack of subject matter jurisdiction, unlike many other objections to jurisdiction of a particular court, cannot be waived. It may be raised at any time by a party to an action, or by the court *sua sponte*.” *Bueford v. Resolution Trust Corp.*, 991 F.2d 481, 485 (8th Cir. 1993). *See also, In re Ben Carter*, 618 F.2d 1093, 1100 (5th Cir. 1980) (“Subject matter jurisdiction is limited by the Constitution and the Congress, and cannot be expanded by judicial interpretation or by the acts or consent of the parties to a case.”)

C. Evidence and Burden of Persuasion.

A complainant alleging a violation of the Shipping Act “has the initial burden of proof to establish the[] violation[]. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true.” *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). *See* 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.155. “[A]s of 1946 the ordinary meaning of burden of proof [in section 556(d)] was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

IV. ALLEGATIONS OF VIOLATION OF SECTION 41104(10).

The Complaint alleges that Respondents violated section 41104(10) of the act, which prohibits a common carrier from refusing to deal or negotiate. (Complaint V.B.) Complainants did not articulate any argument that Respondents violated section 41104(10) of the Act in their response to the Show Cause Order.

[A party's] failure to brief and argue [an] issue is grounds for finding that the issue has been abandoned. *Fehlhaber v. Fehlhaber*, 681 F.2d 1015, 1030 (5th Cir. 1982) (citing *U.S. v. Indiana Bonding & Surety Co.*, 625 F.2d 26, 29 (5th Cir. 1980) (finding that "even though [an] issue was listed as one of the defendant's contentions in the pretrial order, and was thus presumably triable, [the defendant's] failure to present evidence in support of the defense before the district court precludes our review of it [on appeal]"). Cf. *McMaster v. United States*, 177 F.3d 936, 940-41 (11th Cir. 1999) (noting that a claim may be considered abandoned when the allegation is included in the plaintiff's complaint, but he fails to present any argument concerning this claim to the district court); *Lyes v. City of Riviera Beach, Fla.*, 126 F.3d 1380, 1388 (11th Cir. 1997) (noting that "the onus is upon the parties to formulate arguments; grounds alleged in the complaint but not relied upon in summary judgment are deemed abandoned") (citation omitted), *reh'g granted and vacated by*, 136 F.3d 1295 (1998), reinstated by, 166 F.3d 1332, 1336 (11th Cir. 1999) (*en banc*); *Road Sprinkler Fitters Local Union No. 669 v. Indep. Sprinkler Corp.*, 10 F.3d 1563, 1568 (11th Cir. 1994) (concluding that a district court "could properly treat as abandoned a claim alleged in the complaint but not even raised as a ground for summary judgment").

Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta, 219 F.3d 1301, 1326 (11th Cir. 2000). Therefore, Complainants are deemed to have abandoned any claim that Respondents violated section 41104(10) in connection with the Mercedes or the three Harley Davidson motorcycles and this claim is dismissed with prejudice.

V. THE 2006 MERCEDES SL65.

A. Allegations in the Complaint.

Complainants allege that they imported a 2006 Mercedes SL65 into the United States and hired MTL to store it pending repair and shipment to Germany.

27. On or about December 3, 2012, Complainants requested that MTL act as Complainants' "receiving agent" and store a [Mercedes] imported to the United States by Complainants so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.
28. Said Mercedes was then received by MTL's warehouse facility.

29. On or about December 3, 2012, Complainants explained to MTL that the [Mercedes] was to be shipped to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.
30. Because of the commercial relationship between Complainants and MTL, MTL agreed to charge Complainants a monthly storage charge of \$150 for the storage of the [Mercedes].
31. The respondents unlawfully converted [the Mercedes] and shipped it to the United Arab Emirates on or about August 24, 2013 without the permission or direction of Complainants.
32. The respondents unlawfully shipped this vehicle overseas without obtaining a Power of Attorney or other Written Authorization for the Complainants.
33. The respondents have further failed to follow all legal prerequisites to selling this vehicle, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title [to] this vehicle. Respondents have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.
34. In addition, the consignee listed on the bill of lading for the shipment of this vehicle is a third-party that has no relationship, commercial or otherwise with the Complainants.
35. The respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.
36. Therefore, as a result of respondents' unlawful conversion of this vehicle, complainants are entitled to damages in the amount of \$39,931.81, which includes the sum of \$25,615.00 paid to purchase this vehicle, \$1000 for shipment from the U.S. to Germany for repairs, \$7000.00 expended on repairs of the vehicle in Germany, and \$6316.81 in freight, U.S. customs clearance and other charges for shipment of this vehicle back to the United States.

(Complaint.)

B. The Show Cause Order.

The Show Cause Order stated "it appears that the Complaint alleges that MTL stole the [2006 Mercedes SL65] while it was stored in MTL's warehouse, not while MTL was transporting

it internationally by water. The Complaint does not appear to allege a Shipping Act violation by MTL or Alper.” *MAVL v. MTL*, FMC No. 16-16, Order at 6 (ALJ Sept. 15, 2016) (Show Cause Order). Complainants were ordered to show cause why the “why the allegations in their Complaint regarding the 2006 Mercedes SL65 . . . should not be dismiss[ed] for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *Id.* at 7.

C. Responses to the Show Cause Order.

Complainants included a certification by Complainant Ostrovskiy alleging additional facts with their response. Although these facts are not part of the Complaint, because Complainants have asked for leave to amend the Complaint, and because of the outcome below, for the purposes of this Initial Decision, these facts are assumed to be true.

Ostrovskiy states:

3. As explained below, The Mercedes was received by delivered respondent [MTL] for one purpose, to wit: for long term storage in contemplation of export back to Germany.
4. As additionally explained below, MTL invoiced complainants for storage of the Mercedes pursuant to the terms of its tariff related to vehicles received by MTL for purposes of export.
5. It was only after complainants requested that the respondents release the vehicle from long term storage by MTL and export it back to Germany, said vehicle was intentionally shipped to Dubai by respondents and then subsequently sold under the pretext of respondents exercising a maritime lien.
6. The respondents claim to have exercised this lien pursuant to the terms and conditions of MTL’s house bill of lading under which the vehicle was transported overseas.
7. On or about December 3, 2012, Complainants requested that MTL act as Complainants’ “receiving agent” and store the Mercedes, imported to the United States from Germany by Complainants so that maintenance could be performed on the vehicle after which it would subsequently [be] shipped back to Germany.
8. Said Mercedes was then received by MTL’s warehouse facility.
9. I personally provided MTL with the original Certificate of Title for the Mercedes to facilitate the forthcoming export of the vehicle back to Germany, which included presentation of the of the title to U.S. Customs so that it could be “validated” by U.S. Customs prior to being loaded on board a vessel

destined for Germany. A copy of the certificate of title for the Mercedes is annexed hereto as Exhibit "A".

10. On or about December 3, 2012, Complainants explained to MTL that the Mercedes was to be shipped back to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.
11. Due to the fact that this vehicle was delivered to MTL's facility for the sole purpose of being exported back to Germany, complainants received thirty (30) days of free storage at MTL's warehouse pursuant to MTL's tariff.
12. After the thirty free days of storage had expired, MTL began invoicing complainants \$150.00 per month which represented a 50% discount of MTL's normal storage rate of \$10.00 per day, and this was done in light of the parties' ongoing business relationship. A copy of the invoice is annexed hereto as Exhibit "B".
13. On or about June 1, 2013, I visited MTL's storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.
14. Subsequent thereto, in early June of 2013, and due to a lack of response by MTL, I then proceeded to export the vehicle without visual inspection. I then requested that the respondents release the Mercedes from the MTL storage site and export it back to Germany.
15. The request to MTL for export to Germany was made verbally. I specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo. The request was made to export to the following consignee: Anatoli Ostrovski, Arnold STR 2, Dusseldorf Germany, 40749.
16. It was not until I filed a lawsuit in the United States District Court for the Eastern District of New York that I learned that respondents exported the Mercedes to Dubai.
17. Instead of following my instructions, the respondents shipped the Mercedes to the United Arab Emirates on or about August 24, 2013 without my permission or direction to ship it to that location.

(Comp. Resp. to Order to Show Cause, Certification of Maxim Ostrovskiy (Ostrovskiy Certification).) Exhibit A attached to the Certification is not a certificate of title, but a State of California Salvage Certificate for the Mercedes stating:

The vehicle described herein has been declared a total loss salvage vehicle . . . and may not be registered without a vehicle identification number (VIN) inspection . . . and a brake and light inspection. . . . [California Code] requires the seller and any subsequent sellers that transfer ownership of a total loss vehicle pursuant to a properly endorsed salvage certificate to disclose to the purchaser at, or prior to, the time of the sale that the vehicle has been declared a total loss salvage vehicle.

(Ostrovskiy Certification, Exhibit A.) The Certificate shows the owner as Mercury Insurance. The second page of the Certificate states that the Mercedes was assigned to Manhattan Auto Brokers, Inc., on October 8, 2010. Manhattan Auto Brokers's current connection to the Mercedes is not explained.

Complainants contend that Respondents violated the Shipping Act because the Mercedes was received by MTL for storage in contemplation of export back to Germany. Complainants contend that it was only after they requested that Respondents release the Mercedes from storage and export it back to Germany that Respondents "intentionally misdelivered" the Mercedes to Dubai and sold it under the pretext of a maritime lien pursuant to the terms of MTL's bill of lading. (Comp. Resp. to Order to S/C at 2.) Complainants also contend that because the alleged unlawful activity occurred "*while MTL was engaged in the course of transporting the vehicle internationally by water,*" (*id.* (emphasis in original)), the Commission has jurisdiction over their claim.

Respondent Alper argues that Complainants' response "does not contradict the statement in the Order to Show Cause that MTL stole the Mercedes while it was stored in MTL's warehouse, not while MTL was transporting it internationally by water;" therefore, Complainants' response "does not change the fact that the conversion of the vehicle occurred in MTL's warehouse, thereby, abrogating any claim to a violation of the Shipping Act." (Alper Brief at 2.)

Respondent MTL denies Complainants allegation that MTL converted the Mercedes. MTL argues however, that even accepting the allegation as true, the alleged conversion of the Mercedes could only have occurred prior to the export of the Mercedes – that is, before the Mercedes entered into international transportation by water to Dubai. MTL contends that "Complainants' allegations are, in reality, allegations of conversion occurring [in MTL's storage facility] in New Jersey without any international carriage by water and without any Shipping Act implications whatsoever." Thus, argues MTL, Complainants' claim must be dismissed for lack of jurisdiction. (MTL Brief in Support of the Show Cause Order at 5.)

In reply, Complainants assert that Respondents have articulated conflicting statements in their responses in the district court litigation and their responses in the FMC proceeding regarding the claim that Respondents converted the Mercedes. According to Complainants, on one hand Respondents denied having converted the Mercedes in their joint Answer in the district court case,

while arguing in this proceeding that the Mercedes was converted prior to its shipment abroad. (Comp. Reply to Resp. at 2.) In addition, Complainants state that in the district court litigation Respondents claimed to have sold the Mercedes to recover outstanding debts owed by Complainants pursuant to MTL's bill of lading terms. Complainants assert that any such sale constitutes "a clear violation of the Shipping Act." (*Id.*) According to Complainants, because Respondents shipped the Mercedes to Dubai under Complainants' original title and executed a lien on the vehicle, conversion of the vehicle must have occurred in Dubai because ownership of the Mercedes could only have transferred when the new title was issued in Dubai. *Id.* at 6.

D. Complainants' Claims Regarding the 2006 Mercedes SL65 are Dismissed With Prejudice.

Complainants allege that in December 2012 they hired MTL to act as their "receiving agent" and store [the] Mercedes, imported to the United States from Germany by Complainants so that so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas." (Complaint ¶ 27.) MTL admits that it arranged for storage of the Mercedes. (MTL Answer ¶ 27.) Complainants do not allege that MTL was involved in the shipment or violated the Shipping Act when the Mercedes was imported into the United States. The invoice issued by MTL for the storage of the Mercedes indicates that Atlantic Cargo Logistics LLC² was the shipper and the consignee when the Mercedes was imported. This invoice indicates that the shipment of the Mercedes originated in BRV, presumably Bremerhaven, Germany, with destination NYC, presumably the Port of New York and New Jersey, and that the Mercedes entered the United States on October 31, 2012. (Ostrovskiy Certification, Exhibit B.) I note that if MTL were involved in the importation of the Mercedes, the international ocean transportation likely ended soon after October 31, 2012, when the Mercedes arrived in the United States and certainly by December 3, 2012, when the Mercedes was put in long term storage with MTL, and that this event occurred more than three years before Complainants filed their Commission Complaint. *See* 46 U.S.C. § 41301(a) (Shipping Act provides three-year statute of limitations for a claim for a reparation award). Whether or not MTL operated as a common carrier when the Mercedes was imported, accepting the Complaint's factual allegations as true, MTL's role became that of a storage facility (or changed from that of a common carrier within the meaning of the Act into that of a storage facility) when the Mercedes arrived at its warehouse in Bayonne, NJ. (Complaint ¶¶ 27-29; Ostrovskiy Certification, Exhibit B.)

MTL stored the Mercedes in its warehouse for more than six months and charged Complainants \$150 per month for that storage. (Complaint ¶ 30; (MTL Answer ¶ 30.) According to the invoice included in Complainants' response, by May 9, 2013, Complainants owed MTL a total of \$900.00 in storage fees. (Ostrovskiy Certification, Exhibit B.)

The Show Cause Order stated:

² Atlantic Cargo Logistics LLC is an NVOCC licensed by the Commission. *See* <http://www2.fmc.gov/oti/NVOCC.aspx>, last visited December 21, 2016.

According to the Complaint, *before* [Complainants] instructed Respondents to export the Mercedes, Respondents “unlawfully converted this vehicle and shipped it to the United Arab Emirates on or about August 24, 2013, without the permission or direction of the Complainants.” (*Id.* ¶¶ 31-32.) Therefore, it appears that the Complaint alleges that MTL stole the Mercedes while it was stored in MTL’s warehouse, not while MTL was transporting it internationally by water.

MAVL v. MTL, FMC No. 16-16, Order at 6 (ALJ Sept. 15, 2016) (Show Cause Order) (emphasis in original). To the extent the facts alleged in the Ostrovskiy Certification change this characterization of the events in the Complaint, they do not change the outcome. (Ostrovskiy Certification ¶¶ 3-17.)

Complainants contend that MTL received the Mercedes in December 2012 for one purpose:

[F]or storage by MTL in contemplation of export back to Germany. It was only after complainants requested that the respondents release the vehicle from storage and export it back to Germany, the said vehicle was intentionally misdelivered to Dubai by respondents and then subsequently sold under the pretext of respondents allegedly exercising a maritime lien pursuant to the terms and conditions of MTL’s house bill of lading.

Thus, with respect to the Mercedes, the respondents violated the Shipping Act because the unlawful activity occurred *while MTL was engaged in the course of transporting the vehicle internationally by water.*

(Comp. Resp. to Order to S/C at 2 (emphasis in original). *See also id.* at 3 (“As additionally explained in the Certification of Maxim Ostrovskiy, because this vehicle *was delivered to MTL’s facility for the sole purpose of being exported back to Germany*, complainants received thirty (30) days of free storage at MTL’s warehouse. (Ostrovskiy Certification, ¶ ‘11’)”) (emphasis in original).) The allegation that the Mercedes was stored with MTL “*for the sole purpose of being exported back to Germany*” is contradicted by the allegation in the Verified Complaint signed by Ostrovskiy that Complainants stored the Mercedes with MTL “so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.” (Complaint ¶ 27.)

Complainants do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany when it agreed to store the Mercedes. Contract law requires three elements for the formation of a contract – (1) an offer, (2) an acceptance, and (3) consideration. *Vinmar Inc. v. China Ocean Shipping Company*, 26 S.R.R. 420, 423 (FMC 1992). The record does not contain evidence of a contract between the parties for international ocean carriage of the Mercedes to Germany, *e.g.*, the agreed upon cost of ocean freight, agreed upon date of shipment, estimated date of arrival, port of loading, port of unloading, port or point of delivery, and identity of the consignee. Storage of a vehicle for maintenance or “in contemplation of export” without a contract of carriage does not constitute international transportation. Therefore, even if the request Complainants allege they made in December 2012 to ship the Mercedes to Germany were considered to be an offer to enter into a contract of carriage,

nothing in the record supports a finding that the offer to transport the Mercedes, as distinguished from the offer to store the Mercedes, was accepted. MTL was not “engaged in the course of transporting the [Mercedes] internationally by water” when it was storing the Mercedes.

As alleged by Complainants, the first significant event that happened after MTL accepted the Mercedes for storage occurred “[o]n or about June 1, 2013, [when Ostrovskiy] visited MTL’s storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.” (Ostrovskiy Certification ¶ 13.) After the refusal, Ostrovskiy states that he decided to send the Mercedes back to Germany without a visual inspection. The record does not reflect whether any maintenance was performed on the Mercedes while it was in storage. Ostrovskiy alleges that in early June 2013 he asked MTL to release the Mercedes from the MTL storage site and export it to Germany and gave MTL the name and address of the consignee. (Ostrovskiy Certification ¶¶ 14-15.) After Complainants filed their New York complaint against Respondents and others on December 12, 2013, Ostrovskiy alleges that he learned that Respondents exported the Mercedes to Dubai on or about August 24, 2013, without Ostrovskiy’s permission or direction to ship it to Dubai. (Ostrovskiy Certification ¶¶ 16-17.)

Although Complainants allege that in early June 2013 Ostrovskiy told MTL he wanted the Mercedes to be shipped to Germany (“specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo” (Ostrovskiy Certification ¶ 15)), Complainants again do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany. Furthermore, it does not seem plausible that MTL would enter into a contract of carriage to transport the Mercedes at a time when MTL claims Complainants owed it \$900 in storage fees.

Complainants find support in MTL’s tariff that provides for 30 days free storage prior to a shipment, a benefit Complainants allege they received, and the requirement that a carrier must have the vehicle title to ship a vehicle to a foreign country. (*Id.* at 4.) Neither giving 30 days free storage in contemplation that the Mercedes would be shipped nor giving MTL the title constitutes the offer, acceptance, and consideration necessary to form a contract of carriage.

Complainants also provide MTL’s answers to interrogatories in the New York case as further proof. In those responses, Alla Solovyeva, MTL’s president, stated that a company call Car Express & Import, Inc., exported the Mercedes to Dubai where it “was sold pursuant to Clause 15 of the MTL Bill of Lading [‘LIEN’] for unpaid freight and other charges owed by plaintiffs.” (Comp. Resp. to Order to S/C, Appendix C at 3.) Complainants contend that based on Solovyeva’s responses to interrogatories, MTL is arguing in the district court that the storage fees for the Mercedes allegedly incurred but not paid by Complainants gave rise to a maritime lien pursuant to MTL’s tariff. MTL does not claim that it had a maritime lien in its brief in support of the order to show cause filed with the Commission. MTL does claim that Complainants did not pay or attempt to pay the storage fees for the Mercedes. (MTL Brief in Support of the Show Cause Order at 4-6.)

A maritime lien in cargo may be created in certain circumstances.

“A maritime lien is a privileged claim upon maritime property, such as a vessel, arising out of services rendered to or injuries caused by that property.” 1 Thomas J. Schoenbaum, *Adm. and Mar. Law* § 9-1, at 683 (5th ed. 2011). Maritime liens are a security device intended “to keep ships moving in commerce while preventing them from escaping their debts by sailing away.” *Id.* at 684-85. Thus, such a lien attaches to the maritime property from the moment a debt arises, and adheres, even through changes in the property’s ownership, until extinguished by operation of law. *Id.* at 683.

In much the same way that traditional maritime liens against a ship were based on the legal fiction that the ship was the wrongdoer, *see* 1 Schoenbaum, *supra*, § 9-1, at 683-84, maritime law recognizes a reciprocal claim against the ship’s cargo for debts associated with it.

Subject to the exception that the lien of the shipowner may be displaced by an unconditional delivery of the goods before the consignee is required to pay the freight, or by an inconsistent and irreconcilable provision in the charter-party or bill of lading, the rule is universal as understood in the decisions of the Federal courts, that the ship is bound to the merchandise and the merchandise to the ship for the performance on the part of the shipper and shipowner of their respective contracts.

The Maggie Hammond, 76 U.S. (9 Wall.) 435, 449-50, 19 L. Ed. 772 (1869). As the Supreme Court acknowledged in its influential opinion in a case captioned simply *The Bird of Paradise*, such liens on cargo may arise out of contracts to pay freight. 72 U.S. (5 Wall.) 545, 18 L. Ed. 662 (1866); *see also* 2 Thomas A. Russell, *Benedict on Admiralty* § 44, at 3-50 n.2 (7th ed. rev. 2010) (collecting cases).

World Imports, Ltd. v. OEC Group New York, 820 F.3d 576, 583 (3d Cir. 2016).

A maritime lien “arises from the usages of commerce, independently of the agreement of the parties, and not from any statutory regulations.” *The Bird of Paradise*, 72 U.S. at 555.

The contract of affreightment itself creates no [maritime] lien, and this Court has consistently declared that the obligation between ship and cargo is mutual and reciprocal and does not attach until the cargo is on board or in the master’s custody. We think the lien created by the law must be mutual and reciprocal; the lien of the cargo owner upon the ship is limited by the corresponding and reciprocal rights of the ship owner upon the cargo.

Osaka Shosen Kaisha v. Pacific Export Lumber Co., 260 U.S. 490, 499-500 (1923).

While there has been a lack of unanimity in the decisions as to the precise limits of the lien in favor of the cargo, the cases are agreed that the right to the [maritime] lien has its source in the contract of affreightment and that the lien itself is justified as a means by which the vessel, treated as a personality or as impliedly hypothecated to secure the performance of the contract, is made answerable for nonperformance. This engagement of the vessel, or its hypothecation, as distinguished from the personal obligation of the owner, does not ensue upon the mere execution of the contract for transportation. Only upon the lading of the vessel, or at least when she is ready to receive the cargo – where there is “union of ship and cargo” – does the contract become the contract of the vessel and the right to the lien attach. No lien for breach of the contract to carry results from failure of the vessel to receive and load the cargo or a part of it.

It is not questioned here that the union of ship and cargo, once established, gives rise to the right of the vessel to a lien on the cargo for the freight money and of the cargo on the vessel for failure to carry safely and deliver rightly.

Krauss Bros. Lumber Co. v. Dimon S.S. Corp., 290 U.S. 117, 121 (1933).

Complainants allege that MTL claimed a maritime lien on the Mercedes based on Complainants’ alleged failure to pay the storage charge, giving MTL a claimed right to sell the Mercedes. (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6.) If MTL has a lien on the Mercedes, the lien does not arise out of a contract to pay freight as required by the principles set forth in *The Bird of Paradise*, but the contract to pay storage fees to which Complainants and MTL agreed in December 2012. Even if there were a contract of carriage, MTL does not claim that Complainants failed to pay freight money, which could arguably be secured by a maritime lien, but storage fees unrelated to a contract of carriage that MTL claims are owed for the Mercedes.

Accordingly, it does not appear that MTL has a maritime lien on the Mercedes. Solovyeva claims that MTL has a lien based on clause 15 of MTL’s bill of lading, but neither MTL nor Complainants has submitted as an exhibit an MTL bill of lading with Complainants identified as the shipper and MTL as the carrier that would incorporate that clause. The MTL invoice for storage to Complainants is clearly not linked to the transportation into the United States because MTL was not the carrier. There was no subsequent “union of ship and [Mercedes],” *Krauss Bros. v. Dimon*, to export the Mercedes overseas until it was placed on the vessel to be transported to Dubai, and Complainants were not involved in that transportation.

The agreement between MTL and Complainants to store the Mercedes may have created a bailment under New Jersey law.

A bailment may be created by contract, either express or implied, or by operation of law or statute. *Cerreta v. Kinney Corp.*, 50 N.J. Super. 514, 517, 142 A.2d 917 (App.Div. 1958). A bailment arises when a person leaves his chattel on the premises of another “if the latter is given primary control of the chattel for the time being.”

Moore's Trucking Co. v. Gulf Tire & Supply Co., 18 N.J. Super. 467, 469-70, 87 A.2d 441 (App. Div.) (listing as examples of bailments: "jewelry checked with a swimming pool attendant; diamonds delivered to a retail jeweler 'on memorandum' for sale; automobile placed in shop to be washed; airplane stored in a hangar," (citations omitted)), *certif. denied*, 10 N.J. 22, 89 A.2d 306 (1952); *see also State v. Goodman*, 390 N.J. Super. 259, 266-67, 915 A.2d 79 (App. Div. 2007) (holding that film left with a store for developing gave rise to a bailment); *Jasphy v. Osinsky*, 364 N.J. Super. 13, 15, 18, 834 A.2d 426 (App. Div. 2003) (noting that a bailment arose when plaintiff left her three fur coats with defendant for storage and cleaning). A bailment has been explained in the following way:

A bailment is created by the delivery of personal property by one person to another in trust for a specific purpose, pursuant to an express or implied contract to fulfill that trust. Inherent in the bailment relationship is the requirement that the property be returned to the bailor, or duly accounted for by the bailee, when the purpose of the bailment is accomplished, or that it be kept until it is reclaimed by the bailor.

[8A *Am. Jur. 2d Bailments* § 1 (1997).]

Notably, for a bailment to arise, the bailor must have "possession and primary control" over the chattel. *City of Jersey City v. Liggett & Myers Tobacco Co.*, 14 N.J. 112, 115, 101 A.2d 555 (1953). During the bailment arrangement, the bailee has sole custody and control and exclusive possession of the chattel. 8A *Am. Jur. 2d Bailments* § 42 (1997). Nonetheless, the bailee still "must deal with the property during the term of the bailment according to the bailor's instructions." *Id.* at § 4.

LaPlace v. Briere, 404 N.J. Super. 585, 598-599, 962 A.2d 1139, 1146-1147 (App. Div. 2009). In this case, there was a delivery of personal property (the Mercedes) to MTL by Complainants for long term storage so that maintenance could be performed on the vehicle before it would be shipped back to Germany. (Complaint ¶¶ 27-31; Ostrovskiy Certification ¶¶ 3-17.) MTL had "sole custody and control and exclusive possession" of the Mercedes for the period in which it was in storage.

Complainants contend: "[R]espondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit." (Complaint ¶ 35.) Under New Jersey law:

Conversion has been defined as "an unauthorized assumption and exercise of the right of ownership over goods or personal chattels belonging to another, to the alteration of their condition or the exclusion of an owner's rights." *Barco Auto Leasing Corp. v. Holt*, 228 N.J. Super. 77, 83, 548 A.2d 1161 (App. Div. 1988) (quoting *McGlynn v. Schultz*, 90 N.J. Super. 505, 526, 218 A.2d 408 (Ch. Div. 1966), *certif. denied*, 50 N.J. 409, 235 A.2d 901 (1967)). Conversion is an intentional tort in that the defendant must have intended "to exercise a dominion or control over the

goods which is in fact inconsistent with the plaintiff's rights." *Prosser and Keeton on Torts* § 15 at 92 (5th ed.1984). However, the defendant need not knowingly or intentionally act wrongfully for a conversion to occur. *Ibid.* Conversion is "the wrongful exercise of dominion and control over property owned by another inconsistent with the owners' [sic] rights." *Sun Coast Merch. Corp. v. Myron Corp.*, 393 N.J. Super. 55, 84, 922 A.2d 782 (App. Div. 2007) (quoting *Port-O-San Corp. v. Teamsters Local Union No. 863 Welfare & Pension Funds*, 363 N.J. Super. 431, 440, 833 A.2d 633 (App. Div. 2003)), *certif. denied*, 194 N.J. 270, 944 A.2d 30 (2008).

Chicago Title Ins. Co. v. Ellis, 409 N.J. Super. 444, 454, 978 A.2d 281, 287 (App. Div. 2009).

A bailor may sue a bailee in conversion and/or negligence. Common-law conversion is "the exercise of any act of dominion in denial of another's title to the chattels or inconsistent with such title." *Mueller v. Technical Devices Corp.*, 8 N.J. 201, 207, 84 A.2d 620 (1951). Thus, intentional or negligent acts can give rise to a conversion cause of action. The tort arises from the bailee's commission of an unauthorized act of dominion over the bailor's property inconsistent with its rights in that property. *Ibid.* The good faith or intent of the bailee do not play a part in an action for conversion. *McGlynn v. Schultz*, 90 N.J. Super. 505, 526, 218 A.2d 408 (Ch. Div. 1966), *aff'd*, 95 N.J. Super. 412, 231 A.2d 386 (App. Div.), *certif. denied*, 50 N.J. 409, 235 A.2d 901 (1967). For example, a bailee who mistakenly destroys or disposes of the goods is liable in conversion although there is no intent to steal or destroy the goods.

Lembaga Enterprises, Inc. v. Cace Trucking & Warehouse, Inc., 320 N.J. Super. 501, 507, 727 A.2d 1026, 1029 (App. Div. 1999).

Under New Jersey law:

A warehouse has a lien against the bailor on the goods covered by a warehouse receipt or storage agreement or on the proceeds thereof in its possession for charges for storage or transportation, including demurrage and terminal charges, insurance, labor, or other charges, present or future, in relation to the goods, and for expenses necessary for preservation of the goods or reasonably incurred in their sale pursuant to law.

N.J. Stat. § 12A:7-209. Complainants contend that MTL failed to follow all legal requirements before selling the Mercedes, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title. (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6.) See N.J. Stat. § 12A:7-210 (requirements for enforcement of warehouse's lien).

Accepting the factual allegations in the Complaint and the Ostrovskiy Certification as true, it appears that while operating as a bailee under New Jersey law storing Complainants' Mercedes, MTL committed the tort of conversion the Mercedes by "an unauthorized assumption and exercise

of the right of ownership” over the Mercedes. The “unauthorized assumption and exercise of the right of ownership” – the alleged conversion – of the Mercedes would appear to have occurred either on June 1, 2013, when MTL allegedly refused to permit Ostrovskiy to see the Mercedes or tell him anything about it, or in early June 2013 when Ostrovskiy asked MTL to release the Mercedes from the MTL storage site and export it to Germany, and certainly no later than August 24, 2013, when MTL shipped the Mercedes to Dubai, a shipment in which Complainants were not involved, and sold it to cover storage fees MTL claimed were due and owing.

Complainants then allege that MTL sold the Mercedes without following legal requirements for enforcing a lien. (Complaint ¶ 33.) The legal requirements establishing a lien for storage fees and governing enforcement of that lien arise under New Jersey law. The Commission does not have subject matter jurisdiction to determine whether a New Jersey storage facility claiming nonpayment of storage fees not connected to an agreement to transport cargo by water between the United States and a foreign country, had a warehouse’s lien under New Jersey law or followed proper procedure when exercising a claimed lien on the property for storage fees. This is true even when the storage facility is also licensed as and is in the business of operating as an NVOCC.³

In their reply to MTL, Complainants contend that the conversion of the Mercedes occurred in Dubai. (See Comp. Reply to Resp. at 3 (“[I]t remains undisputed that the respondents shipped complainants’ Mercedes to Dubai, under complainants’ original title and then claimed to have executed a lien on said vehicle, allegedly pursuant to the terms and conditions of the MTL Bill of lading. Therefore, ownership of the Mercedes was transferred at the time that the new title was issued in Dubai.”); Comp. Reply to Resp. at 6 (same claim).) The contention is inconsistent with the allegation in the Complaint that “respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.” (Complaint ¶ 35.) Furthermore, conversion is not dependent on change of ownership such as the issuance of a new title. MTL’s alleged “unauthorized assumption and exercise of the right of ownership” occurred at some time before the Mercedes was loaded on board the Maersk ship to be transported to Dubai, not after it arrived in Dubai when title was transferred. This claim is without merit.

The Shipping Act was promulgated to regulate “the common carriage of goods by water in the foreign commerce of the United States.” 46 U.S.C. § 40101(1). The Act’s requirements apply to common carriers that “provide transportation by water of . . . cargo between the United States and a foreign country for compensation [and] assume [] responsibility for the transportation from the port or point of receipt to the port or point of destination [and] use [] for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6). Complainants do not allege that MTL entered into a contract of carriage to transport the Mercedes from the United States to a foreign port. The record only shows an agreement between the parties to store Complainants’ Mercedes in MTL’s warehouse, not to ship

³ The New York complaint alleges a cause of action for conversion. *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al*, No. 13-cv-7110, Complaint at 20 (E.D.N.Y. Dec. 12, 2013). (See MTL Brief in Support of the Show Cause Order, Exhibit 2.)

the Mercedes overseas. The Commission does not have jurisdiction to adjudicate the allegation that MTL violated New Jersey by converting the Mercedes. Therefore, the claims regarding the Mercedes are dismissed with prejudice.

VI. THE HARLEY DAVIDSON MOTORCYCLES.

A. Allegations in the Complaint.

Complainants allege that they purchased three Harley Davidson FXDXI motorcycles and made arrangements to ship them with another NVOCC.

47. Between June 7, 2013 and July 8, 2013, complainants purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 (“Harley #1”); a 2007 Harley Davidson FXD, VIN ending in 1645 (“Harley #2”); and a 2000 Harley Davidson XL883, VIN ending in 3838 (“Harley #3”).
48. After having made payment in full for these motorcycles, all three of said vehicles were released to complainants with their original titles.
49. As a result of MTL’s previous failures to deliver complainants’ vehicles to their overseas destinations, complainants retained the services of another NVOCC not a party to this action and known as Unitrans-PRA (“Unitrans”), and Harley #’s “1”, “2”, and “3” were delivered to the Unitrans’ storage facility for shipment overseas.
50. On or about September 6, 2013, respondent Alper contacted Unitrans on behalf of MTL via email, and directed Unitrans to refrain from shipping Harley #’s “1”, “2”, and “3” and to “hold” that cargo.
51. As a result of respondents’ fraudulent acts described herein, the complainants incurred approximately \$22,920.00 in storage charges for the storage of these motorcycles.

(Complaint.)

B. The Show Cause Order.

The Show Cause Order stated that the Complaint does not appear to allege a Shipping Act violation by MTL or Alper regarding the three Harley Davidson motorcycles because Complainants do not allege that they hired or paid Respondents to ship Complainants’ motorcycles overseas or that Unitrans, a different NVOCC, was Respondents’ agent for transporting the motorcycles. *MAVL v. MTL*, FMC No. 16-16, Order at 7 (ALJ Sept. 15, 2016) (Show Cause Order). Complainants were ordered to show cause why the “allegations in their Complaint regarding . . . the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the 2000 Harley Davidson XL883 should

not be dismiss[ed] for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *Id.*

C. Responses to the Show Cause Order.

Complainants contend that the Complaint “alleges a cause of action against the respondents for retaliation under section 41104(3) of the Shipping Act wherein respondents retaliated against complainants due to complainants having patronized another carrier known as Unitrans-PRA Co. Inc.” (Comp. Resp. to Order to S/C at 7.) Complainants included additional facts in the Ostrovskiy Certification. Although these facts are not part of the Complaint, because Complainants have asked for leave to amend the Complaint, and because of the outcome below, these facts are assumed to be true for the purposes of this decision.

18. On or about June 7, 2013, MAVL purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 (“Harley #1”). This motorcycle was paid for in full by MAVL.
19. On or about June 11, 2013, MAVL purchased a 2007 Harley Davidson FXD, VIN ending in 1645 (“Harley #2”). This motorcycle was paid for in full by MAVL.
20. On or about July 8, 2013, MAVL purchased a 2000 Harley Davidson XL883, VIN ending in 3838 (“Harley #3”). This motorcycle was paid for in full by MAVL.
21. After MAVL made payment in full for all three motorcycles, they were all released to MAVL with their original titles.
22. Complainants retained the services of a carrier not a party to this action and known as Unitrans-PRA (“Unitrans”), and Harley #'s “1”, “2”, and “3” were delivered to the Unitrans’ storage facility for shipment overseas.
23. On or about September 6, 2013, respondent Alper contacted Unitrans via email and directed Unitrans to refrain from shipping Harley #'s “1”, “2”, and “3” on the basis that MAVL had attempted to appropriate these motorcycles which were purportedly owned by MTL and Car Express. Alper specifically stated to Unitrans that: “Your company was previously advised of this fact verbally on August 22, 2013 and this serves as formal notice of such. We are currently requesting that you hold the . . . cargo until release instructions are provided . . .”. A copy of Alper’s email is annexed hereto as Exhibit “C”.
24. On or about October 23, 2013, respondent Alper then fraudulently obtained a replacement title for Harley #3 from the State of Georgia.

25. On or about November 8, 2013, respondent Alper contacted Unitrans and advised that he had obtained title to Harley #3 so that Unitrans would release Harley #3 back into the custody and control of MTL. A copy of the email is annexed hereto as Exhibit "D".
26. Alper's act in obtaining title to Harley #3 was fraudulent on the basis that he was aware that complainants possessed an original title, and he made misrepresentations to the State of Georgia in order to obtain a replacement title.
27. Upon information and belief, the misrepresentations made to the State of Georgia made by Alper in order to obtain title were that the original title was misplaced or destroyed, and that MTL was the lawful owner of Harley #3.
28. To date, respondents have refused to authorize Unitrans to release Harley #'s "1", "2", and "3" to their proper consignees, despite complainants' request that the respondents do so.

(Ostrovskiy Certification.)

Complainants contend that "the complaint alleges a cause of action against the respondents for retaliation under section 41104(3) of the Shipping Act wherein respondents retaliated against complainants due to complainants having patronized another carrier known as Unitrans-PRA Co. Inc." (Comp. Resp. to Order to S/C at 7.)

Mr. Alper's actions and attempts to take possession of the motorcycles (by fraudulently obtaining a replacement title) and interfere with their export by complainants (by instructing Unitrans to hold the cargo) were done as a direct result of complainants having retained another carrier to export the motorcycles overseas. The motorcycles were the lawful property of complainants and respondent Alper had no basis in law or in fact to interfere with their export.

(Comp. Resp. to Order to S/C at 8.)

With respect to the three Harley Davidson Motorcycles described in the complaint, the Presiding Officer is aware that complainants have alleged a Shipping Act violation sounding in retaliation under § 41104(3) of the Shipping Act, wherein complainants claim that the respondents retaliated against complainants for patronizing another carrier after the complainants decided to wind down the business relationship with the respondents. The three motorcycles, purchased and paid for in full, and lawfully owned by complainants, were delivered to the warehouse of a non-party NVOCC known as Unitrans-PRA Co. Inc. ("Unitrans").

As explained herein, while preparations for export were underway, respondent Alper interfered with the export, and contacted Unitrans to place a hold on that cargo. Alper threatened Unitrans with legal action on the alleged basis that Alper was the owner of said cargo and claimed that complainants were attempting to misappropriate his cargo. Alper went as far as to obtain a replacement title in his own name for one of the motorcycles and did so under false and fraudulent pretenses. As a result of the foregoing, the motorcycles were not timely released because of Alper's lies to Unitrans, where they accrued storage and demurrage charges in excess of the value of the motorcycles. This act of retaliation was done solely to punish complainants for deciding not to do business with MTL.

(*Id.* at 10-11.)

Alper contends that Complainants have failed to address the issue raised in the Show Cause Order – that Complainants do not allege they hired or paid Respondents to ship their three Harley Davidson motorcycles and have not alleged that Unitrans, the NVOCC they hired, is an agent of MTL. (Alper Brief at 2.) Alper argues that Complainants' allegations do not establish that Complainants hired Respondents to transport the motorcycles or that Unitrans was Respondents' agent. (*Id.*)

MTL contends that Complainants fail to raise a Shipping Act claim because Complainants have not shown any injury flowing from the alleged retaliation. (MTL Brief in Support of Order to S/C at 6.) MTL states that Complainants attached as an exhibit Alper's email to Unitrans (*see* Ostrovskiy Certification ¶ 23), but did not include the rest of the email thread including the Unitrans reply to Alper in which Unitrans refused Alper's request.

Unitrans-PRA Co., Inc has never been involved in any business transactions with MTL so it is unacceptable for us to get any requests from MTL in regards of third party transactions.

* * *

If you will provide our company with Court Order, we will execute it, but any instructions or orders from your company have no legal ground and can not be executed.

(MTL Brief in Support of Order to S/C at 7. *See also id.* Exhibit 4 (Alper email of September 6, 2013, Alper followup email of September 10, 2013, and Unitrans email reply of September 10, 2013).) MTL states that although MTL asked Unitrans to hold the motorcycles, Unitrans refused the request. Therefore, MTL claims that the alleged violation – contacting Unitrans in an attempt

to prevent the shipment of the motorcycles – did not proximately cause the alleged injury – the alleged accrued storage and demurrage charges.⁴

MTL argues that moreover, even accepting Complainants' allegations as true for the purpose of the Order to Show Cause, Unitrans, not Respondents, should be culpable for any Shipping Act violation resulting from the alleged refusal to export the motorcycles. MTL contends that dismissal of the claim involving the three Harley Davidson motorcycles is thus warranted. (*Id.* at 6-8.) MTL argues that under section 41104(3) of the Act, "retaliation" occurs when a carrier refuses or threatens to refuse to provide available cargo space accommodation or engages in other unfair or unjust discrimination, whereas Complainants "voluntarily elected not to hire, book, or pay MTL to ship the motorcycles" in question. Thus, argues MTL, it could not have denied Complainants cargo space accommodation or discriminated against Complainants "for a *non-existent* booking with MTL." *Id.* at 8-9 (emphasis in original).

Complainants contend that MTL was originally hired by Complainants for ocean transportation of the motorcycles.

With respect to the three Harley Davidson Motorcycles, respondent Alper has already admitted in a sworn declaration that MTL had received the titles for all three motorcycles after they were paid for in full by complainants "so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles." (See, Declaration of Dimitry Alper, ¶ "34" a copy of which is annexed hereto as Appendix "D").

(Comp. Reply to Resp. at 6.) "While it is undisputed that the three motorcycles eventually ended up in the custody of non-party NVOCC Unitrans . . . Alper had no legal right to interfere with the transport of the vehicles by Unitrans in the first place." (Comp. Reply to Resp. at 7.) Complainants assert that Respondents' claim that it was Unitrans that committed the Shipping Act violation by refusing to export the motorcycles is "a feckless attempt to pass the blame and extricate respondents from what is otherwise a textbook example of retaliation under the Shipping Act." (*Id.*)

D. Complainants' Claims Regarding the Harley Davidson Motorcycles are Dismissed With Prejudice.

Complainants do not argue that the alleged actions of MTL regarding the Harley Davidson motorcycles violated section 41102(c) of the Act. Therefore, any claim in the Complaint that MTL violated section 41102(c) is deemed abandoned and dismissed with prejudice. *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d at 1326.

⁴ Complainants neither admit nor dispute the claim that Unitrans responded by refusing to comply with MTL's request and do not question the subsequent correspondence in that email. Because this is before me on whether the Complaint states a claim, I do not make a finding on this.

Section 41104(3) prohibits a common carrier from “retaliat[ing] against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(3). This section was derived from section 14 Third of the Shipping Act, 1916, “which was copied virtually verbatim into the 1984 Act as section [41104(3)].” *International Association of NVOCCs v. Atlantic Container Line*, 1990 FMC LEXIS 5 (ALJ Jan. 25, 1990). In construing section 14 Third, the Supreme Court stated:

[T]he revealed congressional purpose in § 14 Third . . . , as we have said, was to outlaw practices in addition to those specifically prohibited elsewhere in the section when such practices are used to stifle the competition of independent carriers. The characterizations “unjustly discriminatory” and “unjustly prejudicial” found in other sections (§§ 15, 16 and 17) imply a congressional intent to allow some latitude in practices dealt with by those sections, but the practices outlawed by the “resort to” clause of § 14 Third take their gloss from the abuses specifically proscribed by the section; that is, *they are confined to practices designed to stifle outside competition.*

Federal Maritime Board v. Isbrandtsen, 356 U.S. 481, 495 (1958) (footnote omitted) (emphasis added). Section 41104(3), like its predecessor section 14, Third, is not “a flat and unqualified prohibition of any discrimination by a carrier for any reason.” *Isbrandtsen*, 356 U.S. at 495.

Complainants allege that they hired Unitrans to transport the motorcycles “[a]s a result of MTL’s previous failures to deliver complainants’ vehicles to their overseas destinations.” (Complaint ¶ 49.) They do not allege that MTL “refus[ed], or threaten[ed] to refuse, cargo space accommodations when available” because Complainants hired Unitrans. Therefore, there is no claim that MTL violated the first provision in section 41104(3).

The core of Complainants’ claim is instead that “[o]n or about September 6, 2013, respondent Alper contacted Unitrans on behalf of MTL via email, and directed Unitrans to refrain from shipping Harley #’s ‘1’, ‘2’, and ‘3’ and to ‘hold’ that cargo.” (*Id.* ¶ 50.) Complainants do not explain how the act that Complainants allege – emailing Unitrans in an attempt to stop shipment of the motorcycles – is designed to stifle outside competition. Therefore, accepting as true the allegations in the Complaint and Ostrovskiy Certification, Complainants do not state a claim of violation of section 41104(3).

Complainants’ contention that Alper admitted that MTL received the titles for the motorcycles “so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles” does not support a finding that MTL entered into a contract of carriage to transport the motorcycles. First, Alper does not state that MTL agreed to transport the motorcycles for Complainants. Second, Alper’s claim that MTL received the titles is contradicted by Ostrovskiy, who states that “all three of said vehicles were released to complainants with their original titles” and that “complainants retained the services of another NVOCC not a party to this action and known as [Unitrans], and Harley #’s ‘1’, ‘2’, and ‘3’ were delivered to the Unitrans’ storage facility for shipment overseas.” (Complaint ¶¶ 48-49. *See also* Ostrovskiy Certification ¶¶ 21-22 (“the

motorcycles were all released to MAVL with their original titles” and “Complainants retained the services of a carrier not a party to this action and known as [Unitrans], and Harley #’s ‘1’, ‘2’, and ‘3’ were delivered to the Unitrans’ storage facility for shipment overseas.”.) Moreover, accepting Complainants’ allegations as true, even if Complainants originally intended MTL to arrange ocean carriage of the motorcycles, Complainants ultimately tendered the motorcycles to a different NVOCC – Unitrans – for international ocean carriage.

Accepting the factual allegations in the Complaint and the Ostrovskiy Certification as true, Complainants fail to state a claim that Respondents retaliated against Complainants due to complainants having patronized another carrier, or has filed a complaint, or for any other reason. 46 U.S.C. § 41104(3). Therefore, the claims regarding the Harley Davidson motorcycles are dismissed with prejudice.

VII. COMPLAINANTS’ REQUEST TO AMEND THEIR COMPLAINT IS DENIED.

Complainants request that the Presiding Officer . . . to the extent necessary, allow complainants leave to amend the Complaint. Comp. Reply to Resp. at 7-6.

If the underlying facts or circumstances relied upon by a plaintiff may be a proper subject of relief, he ought to be afforded an opportunity to test his claim on the merits. In the absence of any apparent or declared reason – such as undue delay, bad faith or dilatory motive on the part of movant, repeated failure to cure deficiencies by amendments previously allowed, undue prejudice to the opposing party by virtue of allowance of the amendment, *futility of amendment*, etc. – the leave sought should, as the rules require, be “freely given.”

Foman v. Davis, 371 U.S. 178, 182 (1962) (emphasis added). “Courts may deny a motion to amend a complaint as futile . . . if the proposed claim would not survive a motion to dismiss.” *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1099 (D.C. Cir. 1996) citing *Foman v. Davis*, 371 U.S. 178, 181-182 (1962); *Moldea v. New York Times*, 22 F.3d 310, 319 (D.C. Cir. 1994).

Amendment of the Complaint would not cure the Commission’s lack of jurisdiction to adjudicate the claim that Respondents converted the Mercedes while it was held in long term storage. The factual allegations set forth in Complainants’ Complaint and the Ostrovskiy Certification are accepted as true. In order to state a claim, Complainants would have to contradict these sworn allegations. Therefore, leave to amend the Complaint is denied as futile.

VIII. CONCLUSION.

Because the claims involving the alleged conversion of the 2006 Mercedes SL65 do not involve international ocean transportation, the Commission lacks subject matter jurisdiction to hear the claims. Accepting as true the facts alleged in the Complaint and the Ostrovskiy Certification, Complainants fail to state a claim for relief for violation of the Shipping Act regarding the 2006 Mercedes SL65 and the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the

2000 Harley Davidson XL883. Any amendment of the claims would not cure the discussed defects. The claims regarding the 2011 Porsche Panamera remain pending.

ORDER

Upon consideration of the Order to Show Cause Why Complaint Should Not Be Partially Dismissed, the responses thereto, and the record herein, and for the reasons set forth above, it is hereby

ORDERED that the claims regarding the 2006 Mercedes SL65 set forth in the Complaint be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that the claims regarding the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the 2000 Harley Davidson XL883 set forth in the Complaint be **DISMISSED WITH PREJUDICE**.



Clay G. Guthridge
Administrative Law Judge